Domestic Savings and Its Utilization

If utilized productively, domestic savings can accelerate economic growth. India has one of the largest rate of savings (22%). In USA, it is only 2% whereas in Japan it is as high as 23%. Japan's growth was on account of its domestic savings invested profitably and efficiently. Although India's savings are high, these savings have not been invested either wisely or well. Consequently, there has been little growth. It is to be remembered that all investments are born out of savings. Borrowed funds invested have to be returned. Investments from savings leads to greater consumption in the future. This has been recognized by the Government and it was in order to divert savings to industry the 1992 Finance Act stipulated that productive assets of individuals (shares, debentures, etc.) would not be liable for wealth tax.